AIRBAG

DEPEG COVER THAT DEPLOYS ITSELF.

Insurance for stablecoins that pays out by itself · live on Arbitrum Sepolia

THE PROBLEM

STABLECOINS ARE REAL MONEY. ALMOST NOBODY CAN INSURE THEM.

1 · PEGS BREAK

$0.87

USDC on 11 March 2023, after its reserves were stuck at a failed bank. It took about three days to recover.

Source: CNBC

2 · NO COVER

<2%

of the value held in DeFi is insured. There is very little cover to buy.

Source: bex.co, May 2026

3 · SLOW CLAIMS

WEEKS

Existing cover pays after a claim, a review and a vote. When a peg breaks, people need the money now.

THE IDEA IN ONE SENTENCE

AN AIRBAG DOES NOT ASK YOU TO FILE A CLAIM.

The trigger is a number. If USDG trades at or below $0.97, the cover pays. No committee decides.

The payout comes by itself. A bot anyone can run sends the money to your wallet. You do not have to be online.

ALICE INSURES 50,000 USDG FOR A WEEK

1

She buys cover

50,000

USDG of cover for 7 days, in one transaction.

2

She pays a small premium

6.99

USDG. Underwriters compete and the cheapest prices fill the order.

3

The peg breaks

$0.92

USDG trades below the $0.97 trigger.

4

She is paid

+50,000

USDG lands in her wallet. She sent no transaction and filled in no form.

Example quote from the live testnet · the premium moves with demand

UNDERWRITERS BACK THE COVER AND COMPETE ON PRICE

1INCH AQUA

The money stays in their wallet

Underwriters promise a reserve through 1inch Aqua. It is not pooled in our contract, so there is no single pot to hack.

RISK CURVE

Each one sets a price

The more cover an underwriter has sold, the higher their price. A router sends every order to the cheapest curves.

TWO INCOMES

They earn twice

Premiums from every policy, plus savings yield on the same reserve. It is only withdrawn when a payout fires.

THREE KINDS OF LOSS, ONE ENGINE

STABLECOIN

USDG depeg

Pays the full cover when USDG trades at or below $0.97.

≤ $0.97

UNISWAP V4

Liquidity provider loss

A Uniswap v4 hook measures the loss of a pool position on-chain and the cover pays a share of it.

LP LOSS

TOKENIZED STOCK

Stock gap-down

Pays in proportion when a tokenized stock falls below its strike. A 20% gap pays 20% of the cover.

< $250

New products plug in as a new trigger contract · the reserve, pricing and payout stay the same

HOW TO USE IT

PICK, PAY, DO NOTHING

1

Pick your cover

Choose the product, the amount and how many days.

2

Pay the premium

One transaction. You receive a cover note that you can keep, send or sell.

3

Do nothing

If the trigger fires, whoever holds the note is paid automatically.

+

Apps add a widget

A wallet or payment app embeds a “Protect this balance” button and sells cover to its own users.

WHAT IS NEW

WHERE THE INNOVATION IS

What	Why it matters	Built with
Payout with no claim	A price decides, and anyone can fire the payout to the holder	Parametric trigger + keeper
Reserve that is not pooled	The underwriter's money stays in their own wallet until a payout	1inch Aqua
A market for risk	Underwriters publish price curves and each order goes to the cheapest	Router + risk curves
Loss measured on-chain	The pool itself reports a liquidity provider's loss	Uniswap v4 hook
Cover you can hand over	The note is a token, and whoever holds it is paid	ERC-6909 note

Aqua is 1inch's unmodified contract · we deployed it because 1inch is not on Arbitrum Sepolia yet

PROOF IT WORKS

IT RUNS TODAY ON ARBITRUM SEPOLIA

13

contracts deployed and source-verified

34

automated tests passing, including a random-buy solvency test

3

cover products live in one app

18S

from depeg to payout in our run on the live site, 12 Oct

Honest limits

Testnet only and not audited. The price feeds are demo feeds that we move by hand; Chainlink and Pyth adapters are built but not live. Reserves are not locked, and one wallet can back several markets with the same money.



AIRBAG

PEGS BREAK.
NOBODY FILES A CLAIM.
THE AIRBAG DEPLOYS.

airbag.insure · live demo next